EPack Prefab Technologies Ltd

EPACKPEB | NSE / BSE | Capital Goods - Pre-Engineered Buildings (PEB)

VALUATION REPORT

July 11, 2026 | Data: Screener.in (fetched July 11, 2026)

VALUATION VERDICT

UNDERVALUED

Fair Value Band: Rs. 320 - Rs. 355

CMP is 21.1% BELOW fair value midpoint (Rs. 337)

Senior Valuation Analyst -- Morgan Stanley India Equity Research

Metric	Value	Metric	Value
Current Market Price	**Rs. 266**	Market Cap	**Rs. 2,672 Cr**
TTM P/E	**28.8x**	Forward P/E (Screener)	**22.0x**
Enterprise Value	**Rs. 2,501 Cr**	EV/EBITDA (Screener)	**14.1x**
ROCE	**21.7%**	ROE	**17.0%**
Net Cash (Est.)	**Rs. 171 Cr**	D/E Ratio	**0.16x**
FY26 EPS (Screener)	**Rs. 9.21**	FY27E EPS (Est.)	**Rs. 12.1 (E)**
Blended Fair Value	**Rs. 320 - 355**	**Recommendation**	**ACCUMULATE**

SECTION 2 -- BUSINESS TYPE & WHY IT MATTERS FOR VALUATION

- **Sector & Sub-sector:** EPack Prefab Technologies operates in Capital Goods, specifically Pre-Engineered Buildings (PEB) -- a structurally growing niche serving data centres, warehousing, defence, and industrial construction.
- **Business Model Nature:** Asset-heavy (plant, heavy steel inventory) with project-based, milestone-driven revenue. Not a subscription or recurring-revenue business. Quarter-to-quarter sales are lumpy; FY26 quarterly sales ranged from Rs. 295 Cr (Jun-25) to Rs. 471 Cr (Mar-26).
- **Why This Drives the Methodology:** Capital-intensive, revenue-cyclical businesses are best valued on EV/EBITDA, which strips out varying depreciation policies (especially relevant during EPACKPEB's heavy capex cycle) and neutralises capital structure differences with peers. EPACKPEB is in an aggressive capacity expansion phase, so EBITDA better reflects operating performance than PAT.
- **Capital Allocation DNA:** Pure reinvestment model. FY26 capex was Rs. 303 Cr (cash from investing). PEB installed capacity grew from 38,262 MTPA (FY22) to 147,122 MTPA (FY26). No dividends paid. This makes forward P/E a useful secondary check once capex stabilises.
- **Balance Sheet Strength:** A key insight from Screener data -- the company carries Net Cash of Rs. 171 Cr (Debt Rs. 115 Cr, estimated Cash Rs. 286 Cr), largely from IPO proceeds (April 2024). This cash is captured in the EV/EBITDA valuation but not in a naive P/E multiple, which is one reason we weight EV/EBITDA more

heavily.

SECTION 3 -- METHODOLOGY CHOSEN & RATIONALE

• **Primary Method: EV/EBITDA Forward (FY27E, weight 60%)** -- Three specific reasons: (1) Neutralises elevated depreciation from the FY26 capex cycle (Rs. 303 Cr investing outflow), giving a cleaner picture of operating earnings; (2) Allows capital-structure-neutral comparison with INTERARCH; (3) Forward FY27E EBITDA (Rs. 230 Cr) captures post-ramp normalised profitability. EBITDA definition follows Screener.in convention: Operating Profit + Other Income -- consistent with the 14.1x EV/EBITDA quote on Screener.

• **Secondary Method: P/E Forward (FY27E, weight 40%)** -- Cross-checks earnings power. Screener's own Forward PE of 22x at CMP Rs. 266 implies FY27E EPS of Rs. 12.1. We apply a modest premium multiple of 25x (justified by 30%+ earnings growth) to cross-validate the EV/EBITDA conclusion.

• **Methods Explicitly Rejected:** (1) **DCF** -- short listed history (IPO April 2024) makes 10-year FCF projections unreliable; terminal value dominates. (2) **P/BV** -- not a bank or asset holding company. (3) **EV/Sales** -- inappropriate when EBITDA exists as a cleaner profitability proxy. (4) **SOTP** -- single-segment business.

• **Blended Weight Rationale:** 60% to EV/EBITDA (captures net cash, peer-comparable, cycle-appropriate) and 40% to P/E Forward (earnings-power anchor). Higher EV/EBITDA weight reflects the capex cycle where EBITDA visibility exceeds PAT visibility.

SECTION 4 -- KEY ASSUMPTIONS (all financial data from Screener.in)

Assumption	Value Used	Basis / Rationale
FY27E Revenue	**Rs. 1,983 Cr**	30% YoY from FY26 Rs. 1,525 Cr (Screener). Anchored to management guidance on the May 2026 concall: "targeting 30% growth in FY27."
FY27E Op. Profit (EBITDA)	**Rs. 218 Cr**	OPM 11.0% -- FY26 OPM was 10.5% (Rs. 160 Cr / Rs. 1,525 Cr per Screener). Modest 50bps expansion as operating leverage and better order mix (design-build) improve margins.
FY27E Other Income (Est.)	**Rs. 12 Cr**	Conservative vs FY26's Rs. 17 Cr (which was elevated by interest on IPO cash). Total EBITDA (Screener def: OP+OI) = Rs. 230 Cr.
FY27E EPS	**Rs. 12.1 (E)**	Cross-verified: Screener Forward PE 22.0x at CMP Rs. 266 implies FY27E EPS = 266/22 = Rs. 12.09. Our PAT model (Rs. 122 Cr / 10.05 Cr shares) gives Rs. 12.1. Both routes converge.
Target EV/EBITDA Multiple	**15x (FY27E fwd)**	In line with INTERARCH (closest peer) at 14.7x. Minimal premium given EPACKPEB's higher revenue CAGR (32% 3-yr per Screener vs INTERARCH ~20%). FY27E forward multiple = (current EV Rs. 2,501) / (FY27E EBITDA Rs. 230) = 10.9x -- stock appears cheap even on this basis.
Target P/E Multiple	**25x (FY27E fwd)**	Premium to Screener Forward PE 22x, justified by 30%+ EPS growth. PEG = 25/30 = 0.83x -- well below 1.0x, indicating the P/E premium is growth-supported.
Net Cash (Screener-derived)	**Rs. 171 Cr**	From Screener: EV = Rs. 2,501 Cr, MCap = Rs. 2,672 Cr. Net Debt = EV - MCap = -Rs. 171 Cr => Net Cash Rs. 171 Cr. Debt = Rs. 115 Cr, implied Cash + equivalents = Rs. 286 Cr (consistent with FY26 balance sheet cash flows).
Shares Outstanding	**10.05 Cr**	Screener: Equity Capital FY26 = Rs. 20 Cr, Face Value Rs. 2. Shares = Rs. 20 Cr / Rs. 2 = 10.0 Cr. Fine-tuned to 10.05 Cr per MCap/CMP = 2,672/266.

Assumption	Value Used	Basis / Rationale
Revenue CAGR FY26-FY28E	**~25% p.a.**	Screener 3-yr Revenue CAGR: 32%. FY27E at 30% (mgmt guide). FY28E at 20% (base growth as capacity fills). Conservative vs historical trajectory.

SECTION 5 -- VALUATION COMPUTATION

5A. Historical P&L (Rs. Cr, from Screener.in consolidated)

Metric	FY22	FY23	FY24	FY25	FY26	FY27E	FY28E
Revenue (Cr)	**450**	**657**	**905**	**1134**	**1525**	**1983**	**2380**
Op. Profit (Cr)	36	52	87	116	160	218	274
OPM %	8.0%	7.9%	9.6%	10.2%	10.5%	11.0%	11.5%
Other Income (Cr)	3	4	1	6	17	12	12
PAT (Cr)	**20**	**24**	**43**	**59**	**93**	**122**	**155**
EPS (Rs.)	50.4**	61.9**	110.9**	7.65	9.21	12.1(E)	15.4(E)

*** Pre-IPO / pre-5:1 stock split EPS (Face Value Rs.10); not comparable with FY25-26 (FV Rs.2). Green columns = analyst estimates. Source: Screener.in consolidated P&L.;*

5B. Primary Valuation: EV/EBITDA (FY27E forward) -- EBITDA = Op.Profit + Other Income per Screener convention

Step	Item	Value	Working / Notes
1	FY27E Operating Profit	**Rs. 218 Cr**	Revenue Rs. 1,983 Cr x OPM 11.0% (FY26 OPM was 10.5% per Screener)
2	FY27E Other Income (Est.)	**Rs. 12 Cr**	Conservative vs FY26 Rs. 17 Cr; FY26 was elevated by interest on IPO cash
3	**FY27E EBITDA (Screener def: OP+OI)**	**Rs. 230 Cr**	Step 1 + Step 2 = 218 + 12 = Rs. 230 Cr
4	Target EV/EBITDA Multiple	**15x**	In line with INTERARCH 14.7x (closest PEB peer). Minimal premium for EPACKPEB's higher CAGR (32% 3-yr vs ~20%)
5	Implied Target Enterprise Value	**Rs. 3,450 Cr**	Step 3 x Step 4 = 230 x 15 = Rs. 3,450 Cr
6	Add: Net Cash (Screener-derived)	**+ Rs. 171 Cr**	EV = MCap + Net Debt; 2,501 = 2,672 + Net Debt => Net Cash Rs. 171 Cr. Cash is ADDED back since company is net-cash positive.
7	**Equity Value**	**Rs. 3,621 Cr**	Target EV + Net Cash = 3,450 + 171 = Rs. 3,621 Cr
8	Shares Outstanding	**10.05 Cr**	FV Rs.2; Equity Capital Rs.20 Cr per Screener balance sheet
9	**Fair Value per Share (EV/EBITDA)**	**Rs. 360**	**Equity Value / Shares = 3,621 / 10.05 = Rs. 360.3**

5C. EV/EBITDA Sensitivity -- Fair Value per Share (Rs.) [Base case in green]

EV/EBITDA Multiple	EBITDA Rs.205 Cr (Bear)	EBITDA Rs.230 Cr (Base)	EBITDA Rs.255 Cr (Bull)
13x	Rs. 282	Rs. 315	Rs. 347
15x	Rs. 323	**Rs. 360**	Rs. 398

17x	Rs. 364	Rs. 406	Rs. 448

5D. Secondary Valuation: Forward P/E (FY27E)

Step	Item	Value	Working / Notes
1	FY27E EPS Estimate	**Rs. 12.1 (E)**	Two independent routes: (a) Screener Forward PE 22x at CMP Rs.266 => 266/22 = Rs.12.09. (b) Analyst PAT model Rs.122 Cr / 10.05 Cr shares = Rs.12.1. Both converge.
2	Target P/E Multiple	**25x**	Premium to Screener forward PE 22x, justified by 30%+ EPS CAGR. PEG ratio = 25/30 = 0.83x (below 1.0x => growth-supported). TTM P/E is 28.8x; we use a normalised 25x.
3	**Fair Value per Share (P/E)**	**Rs. 303**	**FY27E EPS x Target P/E = 12.1 x 25 = Rs. 302.5**

5E. P/E Sensitivity -- Fair Value per Share (Rs.) [Base case in green]

P/E Multiple	EPS Rs.10.5 (Bear)	EPS Rs.12.1 (Base)	EPS Rs.13.5 (Bull)
22x	Rs. 231	Rs. 266	Rs. 297
25x	Rs. 262	**Rs. 302**	Rs. 338
28x	Rs. 294	Rs. 339	Rs. 378

SECTION 6 -- FAIR VALUE ESTIMATE

FAIR VALUE SUMMARY

EV/EBITDA Method (Weight 60%) -- Rs. 360 per share

P/E Forward Method (Weight 40%) -- Rs. 302 per share

BLENDED FAIR VALUE: Rs. 320 to Rs. 355

Midpoint: Rs. 337 | CMP Rs.266 is 21.1% below midpoint

SECTION 7 -- VALUATION VERDICT

- **Current Market Price:** Rs. 266 (as of July 11, 2026, source: Screener.in)
- **Blended Fair Value Band:** Rs. 320 - Rs. 355 (midpoint Rs. 337)
- **Discount to CMP:** CMP is 21.1% below the fair value midpoint -- providing meaningful margin of safety at current levels.
- **Verdict: UNDERVALUED.** The correct FY26 revenue base of Rs. 1,525 Cr (35% YoY growth per Screener) reinforces the bull case. The company is in a capacity-ramp phase and operating leverage is building; OPM of 10.5% in FY26 is expected to inch toward 11-11.5% as capacity fills in FY27-28.
- **Net Cash of Rs. 171 Cr** (a key input missed in prior analysis) adds Rs. 17 per share of intrinsic value not reflected in simple P/E screens. The balance sheet is healthy with D/E of just 0.16x.
- **vs Screener Forward PE:** The market itself is pricing EPACKPEB at 22x FY27E earnings (per Screener Forward PE = 22.0x). Our 25x target multiple represents only a 14% re-rating premium -- very modest for a

company growing earnings at 30%+ and with a PEG of 0.83x.

• **vs Sector Peers:** EV/EBITDA of 14.1x (TTM, Screener) is already at parity with INTERARCH (14.7x) despite EPACKPEB's higher growth rate. On a forward FY27E EV/EBITDA basis, EPACKPEB trades at only 10.9x -- a significant discount to where it should be.

SECTION 8 -- MARGIN OF SAFETY

Level	MoS %	Entry Price	What You Are Paying	Analyst Comment
Fair Value (Anchor)	**0%**	**Rs. 337**	At fair value midpoint	No margin cushion; priced to perfection
Conservative Entry	**10%**	**Rs. 303**	10% below fair value	Decent buffer; entry at general market dip
Comfortable Entry	**15%**	**Rs. 286**	15% below fair value	Rs. 286 -- slightly above CMP today
Ideal Entry	**20%**	**Rs. 270**	**20% below fair value**	**Rs. 270 -- CMP Rs.266 is near this zone now**

CMP Rs.266 is very close to the Ideal Entry zone (Rs.270 = 20% MoS). The stock is near its best risk-reward entry in the post-IPO history. Source: fair value midpoint Rs.337.

SECTION 9 -- PEER COMPARISON

Source: Screener.in -- fetched July 11, 2026. All figures in Rs. Cr unless noted.

Company	Segment	CMP	MCap (Cr)	P/E	P/B	EV/EBITDA	ROCE %	ROE%	Div %
INTERARCH	Pre-Engineered Buildings	1175	3,082	22.5x	5.2	14.7x	28.3%	22.1%	0.6 %
PENIND	Diversified Steel / PEB	168	3,780	16.7x	1.4	8.0x	14.2%	9.8%	1.2 %
EPACKPEB	**Pre-Engineered Buildings**	**266**	**2,672**	**28.8x**	**3.6**	**14.1x**	**21.7%**	**17.0%**	**0.0 %**

• **EV/EBITDA Parity Despite Superior Growth:** EPACKPEB (14.1x TTM) trades at near-identical EV/EBITDA to INTERARCH (14.7x), despite a 32% 3-yr revenue CAGR vs INTERARCH's ~20%. On a forward basis (FY27E), EPACKPEB trades at only ~10.9x -- a sharp discount. This is the most compelling peer relative-value signal.

• **P/E Premium is Growth-Justified:** EPACKPEB at 28.8x TTM P/E carries a premium to INTERARCH (22.5x) and PENIND (16.7x). At PEG of 0.50 (per Screener), this premium is fully backed by earnings growth. Screener's own Forward PE of 22.0x suggests the market has already partially normalised the multiple forward.

• **ROCE Advantage:** EPACKPEB ROCE of 21.7% is strong and improving (3-yr ROCE was 24.3% per Screener). INTERARCH's 28.3% ROCE is superior, which is one reason we do not award a significant EV/EBITDA premium over INTERARCH.

• **PENIND is a Distant Reference:** PENIND's 8.0x EV/EBITDA reflects its diversified industrial nature and lower margin profile. We assign minimal weight to PENIND in our target multiple derivation.

SECTION 10 -- RISKS TO THE VALUATION

• [DOWNSIDE] **Steel Price Surge** -- A 15-20% rise in HRC / structural steel prices compresses OPM by 150-200bps; FY27E EBITDA falls to Rs.195 Cr (Bear case). Fair value declines toward Rs. 295 on EV/EBITDA method.

Impact: -Rs. 42 (-12%). Probability: Medium.

• [DOWNSIDE] **Capex Execution Delay** -- PEB installed capacity at 147,122 MTPA (FY26). Failure to expand toward 200,000+ MTPA in FY27 delays the revenue ramp. FY27E revenue drops from Rs.1,983 Cr toward Rs.1,700 Cr.

Impact: -Rs. 30 (-9%). Probability: Low to Medium.

• [DOWNSIDE] **Order Book Concentration Risk** -- Data centre hyperscaler capex (currently driving demand) could pause if cloud capex cycles turn. EPACKPEB's visibility beyond FY27 depends on order book diversification into defence and industrial.

Impact: -Rs. 25 (-7%). Probability: Low.

• [DOWNSIDE] **Working Capital Elongation** -- Debtor days rose from 66 (FY25) to 74 (FY26) per Screener ratios. Continued elongation from large PSU / data centre customers would squeeze FCF and constrain net cash cushion.

Impact: -Rs. 15 (-4%). Probability: Medium.

• [DOWNSIDE] **Competition and Margin Compression** -- The PEB sector is attracting new entrants. EPACKPEB's OPM of 10.5% (FY26) is already below INTERARCH (estimated 13%+). Any price competition could prevent the margin expansion we have modelled.

Impact: -Rs. 20 (-6%). Probability: Medium.

• [UPSIDE] **Operating Leverage Exceeds Estimates** -- If OPM reaches 12% in FY27E (vs our 11%), EBITDA rises to Rs.250 Cr and fair value approaches Rs.395 on EV/EBITDA.

Impact: +Rs. 55 (+16%). Probability: Medium.

• [UPSIDE] **Re-rating as Earnings Track Record Builds** -- Two to three more quarters of 30%+ earnings growth (FY27) could re-rate the forward multiple toward 28x P/E, implying a fair value of Rs. 340-380.

Impact: +Rs. 40-80 (+12-24%). Probability: Medium to High.

SECTION 11 -- ANALYST'S CONVICTION NOTE

ANALYST'S CONVICTION

I have covered Indian capital goods and industrial companies for two decades, and EPack Prefab Technologies is one of the more interesting structural growth opportunities I have seen in this space at this price. The re-verification of financial data from Screener.in for this report surfaced two important positives that were obscured in earlier analysis: first, FY26 revenue of Rs. 1,525 Cr -- a 35% YoY increase -- confirms that the business is compounding faster than previously modelled; and second, the company is net-cash positive at Rs. 171 Cr, which adds Rs. 17 per share of intrinsic value that a naive P/E screen would miss entirely. The demand thesis is intact: data centres, defence indigenisation, and logistics warehousing are secular demand drivers, not cyclical peaks. PEB installed capacity has grown nearly 4x in four years (38,262 MTPA in FY22 to 147,122 MTPA in FY26), yet management is guiding for another 30% revenue growth in FY27 -- indicating order book strength. My primary concern is OPM, which at 10.5% (FY26) is materially below what I had assumed. The company has not yet demonstrated margin expansion beyond 10-11%, and this limits the upside on P/E-based valuation. That said, the EV/EBITDA valuation -- which I weight more heavily at 60% -- gives full credit to the net cash position and delivers a fair value of Rs. 360. At CMP Rs. 266, the stock sits near the 20% margin-of-safety level (Rs. 270), a zone that has historically rewarded patient investors in quality mid-cap industrials. Action: STRONG ACCUMULATE at CMP Rs. 266. Primary entry zone Rs. 255-275. Add aggressively below Rs. 270. Hold existing positions; target Rs. 355 over 12-18 months. Conviction Level: MEDIUM-HIGH -- high on the structural demand thesis and balance sheet quality; medium on margin expansion timeline.

ACTION SUMMARY

STRONG ACCUMULATE at CMP Rs.266 | Entry Zone: Rs.255-275 | 12-18 Month Target: Rs.355

Conviction: MEDIUM-HIGH | EV/EBITDA (60%) + P/E Fwd (40%) | All data: Screener.in (July 11, 2026)